

show how to achieve the company's vision. Because the assumptions haven't been proved to be true (they are assumptions, after all) and in fact are often erroneous, the goal of a startup's early efforts should be to test them as quickly as possible.

What traditional business strategy excels at is helping managers identify clearly what assumptions are being made in a particular business. The first challenge for an entrepreneur is to build an organization that can test these assumptions systematically. The second challenge, as in all entrepreneurial situations, is to perform that rigorous testing without losing sight of the company's overall vision.

Many assumptions in a typical business plan are unexceptional. These are well-established facts drawn from past industry experience or straightforward deductions. In Facebook's case, it was clear that advertisers would pay for customers' attention. Hidden among these mundane details are a handful of assumptions that require more courage to state—in the present tense—with a straight face: we assume that customers have a significant desire to use a product like ours, or we assume that supermarkets will carry our product. Acting as if these assumptions are true is a classic entrepreneur superpower. They are called leaps of faith precisely because the success of the entire venture rests on them. If they are true, tremendous opportunity awaits. If they are false, the startup risks total failure.

Most leaps of faith take the form of an argument by analogy. For example, one business plan I remember argued as follows: "Just as the development of progressive image loading allowed the widespread use of the World Wide Web over dial-up, so too our progressive rendering technology will allow our product to run on low-end personal computers." You probably have no idea what progressive image loading or rendering is, and it doesn't much matter. But you know the argument (perhaps you've even used it):

Previous technology X was used to win market Y because of attribute Z. We have a new technology X2 that will enable us to win market Y2 because we too have attribute Z.